while being prepared to do what is necessary if the economy deviates from the projected inflation path. As of now, we believe the rate is appropriately set.

Then there are those who believe we are moving too independently. All we have done thus far is to adopt the reasonable suggestion of the Patel Committee that we focus on CPI inflation rather than WPI inflation as our primary objective. The Patel Committee has also suggested a time horizon to glide down to 6 per cent inflation that seems doable without extreme hardship. If the eventual decision of the government, in consultation with the Reserve Bank, is to adopt the recommendations of the Mistry Committee, the Committee on Financial Sector Reforms, the Financial Sector Legislative Reforms Committee (FSLRC) and the Patel Committee, and focus on some form of an inflation objective, it would be good for the medium-term inflation target to be set by the executive or legislature, advised by the Reserve Bank.

The Patel Committee report is out there for public comment and debate, and once we collect and analyse comments, we will take an internal view and then start deliberations with the government. All this said, international experience suggests that, ideally, once the central bank's objective is given, and the operational target fixed, the government should leave the technocrats in the central bank to do their job.

Finally, does the Patel Committee intend to turn the RBI into inflation 'nutters' focused on bringing down inflation to the exclusion of all else, including financial stability? Of course not! Medium-term flexible inflation targeting means that the monetary policy committee focuses on inflation over the medium term, being concerned about too high, as well as too low, inflation.